

The Best Online Business to Make \$1M (Beginner-Friendly)

Channel: Tim Luong · Published: Aug 31, 2026 · Watch: <https://www.youtube.com/watch?v=7HZjypdcyP8> Source: full transcript

Executive Summary

Tim Luong rates six online income streams on ease of start, speed to first dollar, and passive income potential, arguing each skill funds the next and together they compound into life-changing wealth over many years.

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Introduction & Rating Framework 0:00

- Tim claims to have generated **over \$50 million online** across multiple income streams
- Three criteria used to rate every business model:
 - How hard is it to start?
 - How fast can you see your first dollar?
 - How much can it make without you always being in the room? (passive score)
- Each stream is rated out of five on all three criteria
- Core thesis: each income stream funded the next one — the order matters

Income Stream 1: Trading 0:23

- Tim ground 70–80 hours a week for 3 months before making even a little money from trading
- Realistic expectation for most beginners: **6–12 months** to actually learn the skill
- Key mindset shift — the #1 success factor is treating it as a skill, not a money chase:
 - Focus on taking the right trades

- Develop great risk management
- Work on trading psychology
- Early mistake: using his own money made him overly conservative and he blew up multiple accounts
- Modern advantage: simulation/paper trading accounts let beginners trade live markets with fake money
 - Recommended practice period: **3–6 months on a sim account**
 - Track every trade — note what worked and what didn't
 - Zero real capital at risk during the learning phase
- Trading can be done in just **1–2 hours a day** — no need to be glued to a desk all day
- Hidden compounding benefit: technical analysis skills from trading transfer directly to long-term investing
 - Tim credits his trading foundation for earning him an **extra seven figures** later via investing
- Tools mentioned: free and paid online material; paid recommendation is his dad's platform **stocknavigators.com**

Rating Criterion	Score
Ease of start	3 / 5
Speed to first dollar	3 / 5
Passive score	4 / 5 (least time of any endeavor, but you must be present)

Note on passive score: a "4" here reflects the low time commitment (1–2 hrs/day) relative to running a full business — it is NOT truly passive since you must show up to trade.

Income Stream 2: Digital Products 3:03

- Common myth debunked: you do NOT need to be the expert to profit from digital products
- Tim's origin story — **Stock Navigators** (founded 2018):
 - Tim had failed 3 businesses before this one
 - Started as a casual in-person trading class in San Jose — never intended to be a business
 - Made his father (who taught Tim to trade) the face of the brand
 - Early days: losing money, but it eventually scaled massively
 - In-person model plateaued fast — capped at 20–25 students per class
 - Pivoted online, built a full curriculum, software, community, live calls, and coaching
 - Grew to **tens of thousands of students** and an **8-figure annual run rate**
 - Products include: daily live streams of millionaire traders, trading software, community platform
 - Listed on **Inc. 5000 two back-to-back years**
- Second digital product business:
 - Launched with another trading educator
 - Went from **\$0 to \$5 million in the first 12 months**

- Two paths to profit from digital products:
 - Be the expert and create your own product
 - Be the **operator** for an existing creator/influencer who needs business help
 - Many social media creators need someone to build and run the backend business
 - Tim's company **Three Levels** teaches people how to become operators in this space
- Skills Tim developed running these businesses: paid ads, team building, people management, product creation, software development
- Now operates a **holding company** of multiple digital product creators
- Trade-off: much more time-intensive to build than trading, especially in early days

Rating Criterion	Score
Ease of start	3 / 5
Speed to first dollar	3 / 5
Passive score	2 / 5 (you must actively run the business)

Income Stream 3: Personal Brand 5:39

- Tim identifies personal brand as potentially the **smartest single business decision** you can make
- Key realization: all successful digital product creators he observed had personal brands behind them
- His own brand stats (at time of filming): **13,000 YouTube subscribers**, growing weekly
- Even without a product to sell yet, Tim receives **multiple DMs per week** on Instagram from people wanting to pay for consulting or buy products
 - Instagram handle: **@TimothyLuong**
- AdSense (YouTube ad revenue) alone: only **\$300–\$500/month** — but that's NOT the real value
- Real value of a personal brand:
 - Amplifies every other income stream on the list
 - Builds **pre-built trust** — people who watch your content already know if you can solve their problem before ever getting on a sales call
 - Creates inbound leads at zero marginal cost
- You don't need to be the world's best — just better than **90% of people** in your niche
- Practical advice for starting:
 - Pick **one platform** — don't spread across five at once
 - On YouTube: aim for **2–4 videos per month** to start
 - Consistency is critical — missing and stopping completely kills momentum
- Why it's listed as harder to monetize quickly: takes **many years** to build and compound
- Indirect income unlock: Tim's personal brand is the reason consulting pays him **\$300–\$5,000/hour**

Rating Criterion	Score
Ease of start	4 / 5 (can post content tomorrow)
Speed to first dollar	2 / 5 (takes years to compound)
Passive score	2 / 5 (you must film consistently)

Income Stream 4: Consulting 8:21

- Tim's consulting rate: **\$300–\$5,000 per hour** — described as probably the highest dollar-per-hour stream in the video
- He currently does only **2–3 consulting sessions per month** due to limited bandwidth
- How clients find him: primarily through Instagram DMs generated by his personal brand content
- Operates consulting through his company **Three Levels**
- Practical use case for Tim: a few hourly sessions per month pays for his **entire content team**
- Personal motivation beyond money: genuinely loves talking to founders
- Critical prerequisite — you cannot charge high rates without proof:
 - Tim points to 8 years of online business experience and **\$50M+ in revenue** as his credibility
 - Without that track record, high rates aren't defensible
- Lower barrier to entry than it seems:
 - Can start charging people you already know tomorrow
 - If you're already making content, you likely already have people willing to pay
 - Rates scale with experience — start lower, raise as proof accumulates
- Major downside: **zero passivity** — completely trading time for money; stops the moment you stop working
- Described as a "quick cash grab" and easy to get started relative to other streams

Rating Criterion	Score
Ease of start	4 / 5
Speed to first dollar	4 / 5
Passive score	1 / 5 (not passive at all)

Income Stream 5: Real Estate 9:51

- Real estate is commonly oversold as easy passive income — Tim pushes back on this
- His personal example: first Miami property appreciated **over \$1 million within 2 years**, plus monthly cash flow
- Real ownership realities: maintenance, tenant situations, and ongoing management demands
- **Key wealth-building strategy — borrowing against appreciation without selling:**
 - Property goes up \$300K in value

- Take a loan out against that appreciation from the bank
- Monthly costs don't change
- Use loan proceeds to buy another property
- Nothing sold, nothing taxed, assets keep compounding
- When to enter real estate: only after you have **consistent cash flow** from other sources
 - Real estate is NOT a starting point
- Tim's top two pieces of advice:
 - Buy in **up-and-coming areas** — already-popular places have limited appreciation upside
 - Do serious **due diligence**: visit the property in person, hire a quality property inspector — don't buy based on photos alone
- How to make it more passive: **hire a property manager** to handle day-to-day operations
- Time horizon framing: most of the cash flow initially goes back into the mortgage — truly a **20–30 year play**

Rating Criterion	Score
Ease of start	1 / 5 (requires significant capital)
Speed to first dollar	2 / 5 (long-term play, cash flow absorbed by mortgage early)
Passive score	4 / 5 (with a property manager)

Income Stream 6: Long-Term Investing 11:47

- Listed last intentionally: without consistent cash flow from other streams, there's nothing to compound
- Tim's personal transition: as businesses grew and time shrunk, he shifted from **day trading** → **swing trading + long-term investing**
 - Can make a few good plays per quarter and profit over a longer horizon without being at a screen daily
- Key framework — two-account system:
 - **Active trading account** — used for more frequent/daily income generation
 - **Long-term investing account** — a few good plays every few months or annually; leave it alone and let it compound
- What to put in the long-term account:
 - Index funds
 - High-conviction tech and AI stocks (companies you actually use)
- Beginner recommendation:
 - Don't start with individual stock picks
 - If you have active income already, start by investing **10% of monthly active income** purely into index funds
 - Requires no thinking — just set it and let it ride

- The trading-to-investing bridge:
 - Technical analysis skills from trading apply directly to identifying good long-term investment entries
 - This crossover is what Tim credits for earning him a **multiple extra seven figures** over time
- Time horizon: truly a **20–30+ year game**

Rating Criterion	Score
Ease of start	4–5 / 5 (can start throwing money into an index fund tomorrow)
Speed to first dollar	2 / 5 (long-term game)
Passive score	5 / 5 (fully set-and-forget)

The Big Pattern: How Each Stream Funds the Next 13:27

- The two streams with the **highest passive scores** (investing, real estate) require the most capital to deploy — and that capital only exists because of years spent building active cash-flow skills first
- The streams with the **lowest passive scores** (consulting, personal brand) are what generate the active cash flow that makes everything else possible
- Tim's honest reflection: he had no master plan — the order emerged organically, but in hindsight each skill funded and unlocked the next opportunity

"Each one funded the next opportunity."

- Implied recommended order for beginners:
 - Start with a learnable active skill (trading or digital products)
 - Build a personal brand in parallel to amplify everything
 - Add consulting as a quick high-value cash layer once you have proof
 - Deploy consistent cash flow into real estate and long-term investing as the final compounding layer
- Tim invites viewers to comment which income stream they want broken down in more depth

Full Ratings Summary

Income Stream	Ease to Start	Speed to First \$	Passive Score
Trading	3 / 5	3 / 5	4 / 5
Digital Products	3 / 5	3 / 5	2 / 5
Personal Brand	4 / 5	2 / 5	2 / 5
Consulting	4 / 5	4 / 5	1 / 5
Real Estate	1 / 5	2 / 5	4 / 5
Long-Term Investing	4–5 / 5	2 / 5	5 / 5